BoE

Unit 4

Unit – IV: Economics & Financial Analysis: - Revenue Analysis, Identify different Revenue Streams and Costs Analysis – Startup Cost, Fixed Cost and Variable Cost, Break Even Analysis, Profit Analysis, Introduction to Pricing, different Pricing Strategies, Sources of Finance, Bootstrapping and Initial Financing, Practice pitching to Investors and Corporate.

Revenue Analysis

Revenue is the income business generate by means of sales.

A business may have multiple sources of revenue, and these sources can be based on different services of the business. For instance, a soda shop can have home delivery, counters in malls and mobile trucks as three different services, and thereby, three different sources of revenue.

These sources of revenue are referred to as **Revenue Streams**. A business should have as many revenue streams as possible.

•Revenue Streams should be **dependable**, i.e. they should be built in such a way that the same customer can be tapped into for multiple times to generate repeat revenue, making the revenue stream reliable for the business.

•Revenue Streams should also be **clearly defined.** List the sources for the revenue stream, their lifecycle and pricing. This would help us determine if the revenue stream is profitable, and this would help us determine if the revenue stream has to be continued.

•Revenue Streams should be **flexible.** If a revenue model is not working, it should be changed immediately. For example, if the soda shop hasn't generated a good revenue in a given locality, study the demographics of other places and shift it to other localities.

Revenue Analysis

- Every revenue stream operates on two main functions
  - What value are your customers willing to pay?
  - How much each revenue stream count to overall revenue?

Types of Revenues

- Asset Sale
- Usage Fee
- Subscription Fee
- Lending/Leasing/Renting
- Licensing
- Brokerage Fee
- Advertising

Cost Analysis

- Startup Costs
- Fixed Costs
- Variable Costs

Startup Costs are the costs that are incurred before starting the business otherwise also called as capital costs.

Ex: Startup Costs for food truck business are Vehicle, Freezer, Blender, License, Chairs, Signage

Fixed Costs are the costs which are incurred regularly irrespective of the production and sales. Fixed costs are usually calculated for monthly basis.

Ex : Fixed cost for food truck business - Salary, Rent, Interest, Fuel

Variable Costs are the costs that are dependent on the number of units produced and sold.

Ex : Fixed cost for food truck business - Raw material, Yogurt, Sugar, Cups and spoons.

Cost Analysis

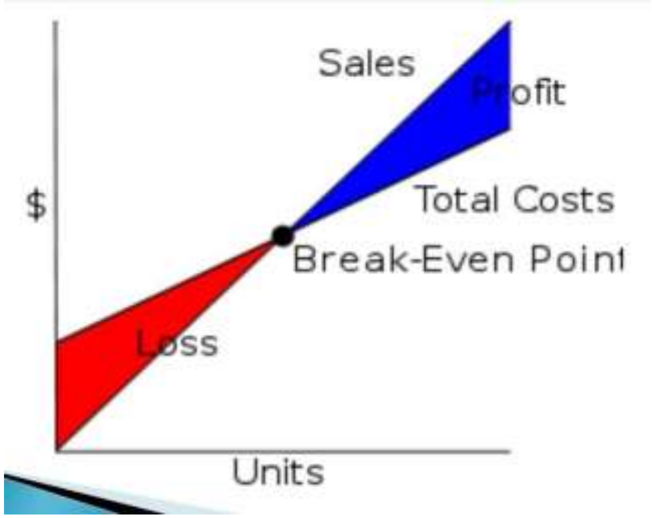
- For entrepreneur it is better to have variable costs than fixed costs
- For entrepreneur it is better to have fixed costs than startup costs

Some Questions for Analysis

- What are the major costs of the business?
- Can you avoid certain costs or postpone the costs?
- Is your business value driven or cost driven?
- If it has a low value proposition, then it is cost driven.
- If you have a value driven proposition then it is value driven.

Breakeven Analysis

- A breakeven analysis is **used to determine how much sales volume your business needs to start making a profit.**
- In other words, in a business, in order to know how to price a product, first, the break even point has to be calculated.
- The breakeven analysis is especially useful when you're developing a pricing strategy, either as part of a marketing plan or a business plan.



Example:

No. of Units	FC	VC	TC	TR(SP = Rs. 50)	Profit / Loss
10	1000	100	1100	10 x 50 = 500	-600
20	1000	200	1200	20 x 50 = 1000	-200
22	1000	220	1220	22 x 50 = 1100	-120
24	1000	240	1240	24 x 50 = 1200	-40
25	1000	250	**1250**	25 x 50 = **1250**	**No Profit, No loss**
30	1000	300	1300	30 x 50 = 1500	200

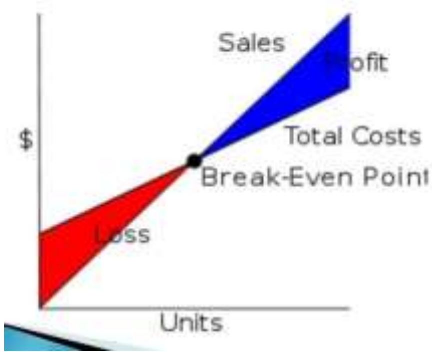
Breakeven Analysis

- In economics and business, **the break-even point (BEP)** is the point at which cost or expenses and revenues or gains are equal. **There is no net loss or gain**, and one has "broken even".
- **Condition :**

Total Cost (Fixed Cost + Variable Cost) == Total Revenue

- On the basis of the above condition, an expression for the BEP can be obtained as described below:

- $BEP = \dfrac{Total\ Fixed\ Costs}{Sale\ Price\ Per\ Unit\ - Variable\ Cost\ Per\ Unit}$



- The quantity in the denominator, i.e. $Sale\ Price\ Per\ Unit - Variable\ Cost\ Per\ Unit$ may be referred to as the **Unit Contribution Margin**.

- The BEP may be calculated as shown in the formula above.

Breakeven Analysis – Pros and Cons

Advantages

•Helps in deciding the minimum quantity of sales

•Helps in determining the tender price

•Helpful in examining effects over the organization's profitability

•Helpful in deciding about the substitution of new plants

•Helpful in sales price and quantity

•Helpful in determining marginal cost

Disadvantages

•This is a supply-side analysis, i.e. it only analyses the costs of sales.

•This is a slightly flawed system because of some of its assumptions (fixed cost is assumed to be constant, quantity of goods produced is assumed to be equal to the number of goods sold, etc)

Profit Analysis

- Profit Analysis involves a detailed study and analysis of the reported profit figure of a business to determine the actual extent of its profitability.
- This analysis is needed by outside analysts, because managers routinely report overly optimistic profit information to the outside world.
- The key components involved in profit analysis include:
  - Selling price per unit
  - Level or volume of activity
  - Total fixed costs
  - Per unit variable cost
  - Sales mix
- The main method adopted to carry out profit analysis is the **Profit Volume Ratio (PVR)** which is calculated by dividing the shareholders contribution by the sales and then multiplying it by 100 as follows –
- $PVR = \frac{Shareholders\ Contribution}{Sales} * 100$

Profit Analysis

Advantages

- Helps find the right break-even point
- Helps in decision-making
- Gives a detailed snapshot of all the activities of the company

Disadvantages

- Doesn’t take future prospects of a business into consideration
- Helps in decision-making
- Gives a detailed snapshot of all the activities of the company

Introduction to Pricing

- Being an entrepreneur you need to rightly identify price that you offer your product/service to customer
- Fixing the right price is the key to profit making
- If price is two high, customers will not buy
- If it is two low, they u will not recover the cost.
- The right price point should fetch you both
- BECAUSE OF WRONG PRICING MANY PRODUCTS FAIL.

How is the price fixed?

- First understand customer segments
- Different customer segments have different maximum amounts that they are willing to pay for a product/service
- The price should be below the customer highest willingness to pay
- Then you select your pricing strategy
- For a startup there are 3 pricing strategies

Pricing Strategies

1. Profit Maximization Pricing Strategy

- The process by which a company determines the price and product output level that generates the most profit.
- When all customer segments have similar willingness to pay
- Optimum long term and short term prices are equal
- Eg. Starbucks

2. Market Skimming Strategy

- A profit maximization strategy for high tech and low availability goods.
- Initially, the goods are assigned a higher initial price.

After some time, when the competition for such goods increases in the market, the prices of these goods are gradually decreased. Ex : Apple

Pricing Strategies

3. Market Penetration Strategy	4. Loss Leader Pricing Strategy
Both of these strategies involve **pricing a product at a discounted price initially.**	
This is done for a gain in market share.	This may result in a gain in market share, but is actually done for greater customer attraction, and increased sales of other goods.
Loss incurred at the beginning is compensated by increasing the price of the product, only after a satisfactory market share is gained.	Loss incurred at the beginning is compensated by selling other products which offer high profit margins.
Prices are reduced in relation to the prices of competitors' goods	Prices are reduced, keeping the popularity factor in mind, i.e. prices set by competitors don't really matter.
• Both of these strategies are used to maximize broader adoption of a product. • One needs to be very careful with these strategies.	

Pricing Strategies

5. Psychological Pricing Strategy

Psychological Pricing aims to change perceptions about the price of a product, rather than changing the perceptions about the product itself, thereby causing the price to impact the buyer psychologically. This involves -

•Setting prices with odd numbers such as Rs. 999, Rs. 4499, etc. to make customers feel like they're spending really less.

•Placing an original price next to a sale price to show customers how much they're saving.

This is mainly used by brands which target price-sensitive customers.

6. Premium Pricing Strategy

Setting high prices of products to build the value of the product and give the buyer a feeling of "exclusivity" and "luxury"

Suitable for audience which seeks quality over a good deal. Ex :

Mercedes-Benz, BMW, Louis Vitton

Pit falls for pricing

- It is always good to price a product higher to start with and lower the price later.
- Set the right price to match the perceived value of your product or service.
- Do research with your customers
- Consider how much your customers are willing to pay for your product.
- There is no one price strategy which can fit for all products. You need to think which is good.

Revenue

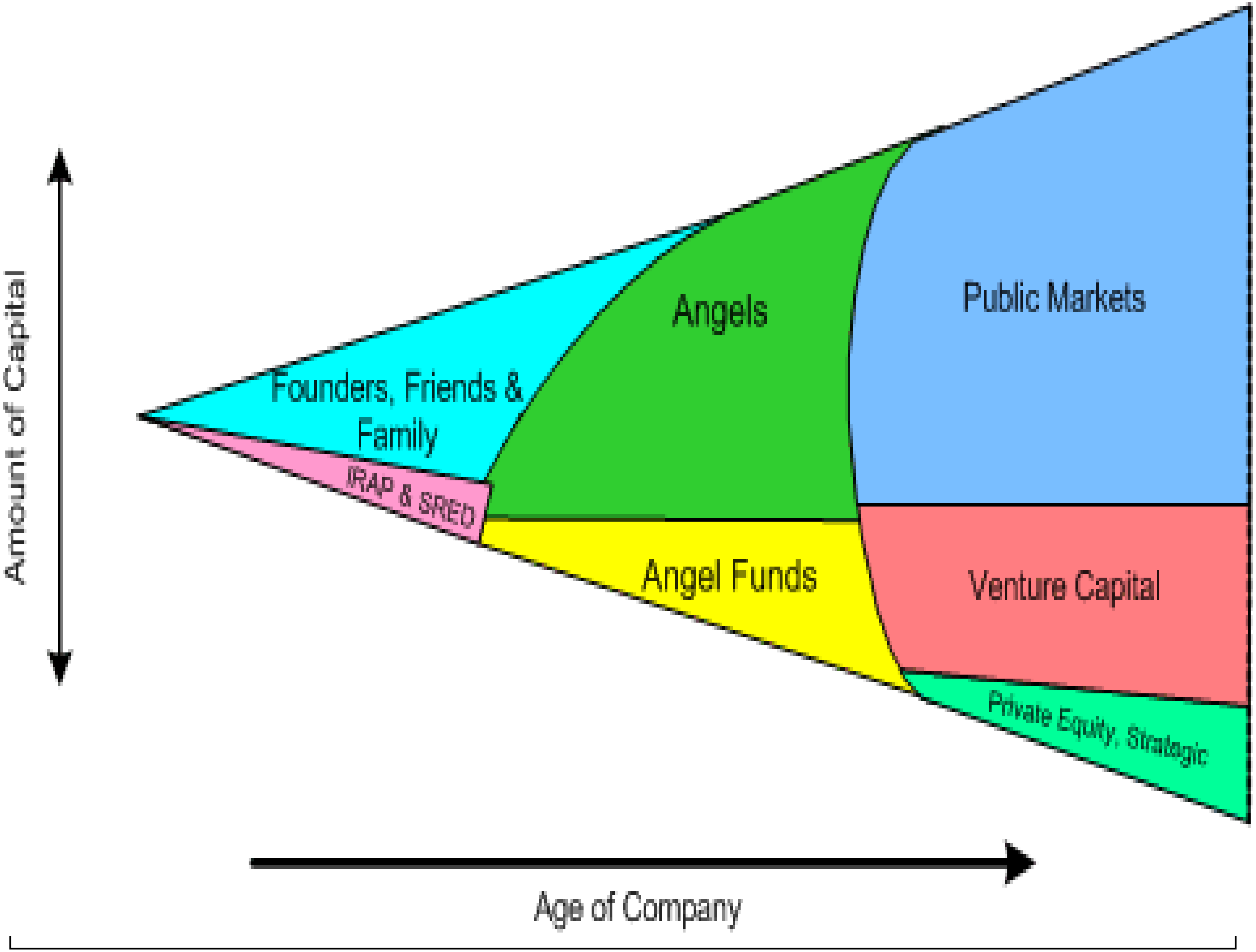
- Income from sales is called revenue
- Sources of revenue: direct sales and other sources like-adding home delivery service.
- Each source of revenue is called revenue streams
- Should build revenue streams if u cannot tap same customer for repeated revenue.
- You should rely on dependent sources for repeated revenue stream.

Bootstrapping

- Bootstrapping is starting a business using your own resources without using external capital. Bootstrapping directly ties back to the "Bird-in-Hand" Effectuation principle that you learned earlier.
- Bootstrap financing is probably one of the best and most inexpensive routes an entrepreneur can explore when raising capital.
- Entrepreneurs ideally bring their own capital of raising the seed capital through personal funds.
- Sources of Finance in Boostrapping -
  - Personal Finances
  - Loans from family and friends
  - Trade Credit (Air bnb)
  - Revenue/Profit
  - Advances

Key strategies to use funds

- Convert fixed costs into variable costs
- Lease furniture and equipment
- Rent vehicles for delivery
- Use negotiation skills



Amount of Capital
Founders, Friends & Family
IRAP & SRED
Angels
Angel Funds
Public Markets
Venture Capital
Private Equity, Strategic
Age of Company

Angel Investors

- A seed investment in the startups is usually made, in exchange for equity

- An angel investor (also known as a private investor, seed investor or angel funder) is a high-net-worth individual who provides financial backing for small startups or entrepreneurs typically in exchange for ownership equity in the company.
- Rajan Anandan is a well-known name in the Indian startup ecosystem. He is the Managing Director of Sequoia Capital and has worked with numerous technology giants like McKinsey, Dell, Microsoft and Google. He invested in Unacademy

- A venture capitalist is an individual or group that invests money into high-risk startups. Typically, the potential for the startup to grow rapidly offsets the potential risk for failure, thus incentivizing venture capitalists to invest. After a set period, the venture capitalist may fully buy the company or, in the event of an initial public offering (IPO), a large number of its shares.
- **Sequoia Capital India**
- *Just Dial, Knowlarity, Practo, Akosha etc*
- **SAIF Partners**
- *Paytm, Just Dial, HomeShop 18, Book My Show*

- Rohit Bansal had co-founded Snapdeal, along with Kunal Bahl in 2010. He is another entrepreneur turned angel investor who is using his hard-earned money from his own venture to support emerging startups. His portfolio includes startups like Open Secret, Park+, Bira 91 and Mamaearth.
- Vijay Shekhar Sharma is the iron man of the Indian startup ecosystem. His rags to riches story is an inspiration to every budding entrepreneur in the country. He started Paytm as a digital payments startup in 2010 and has made it into India's most valuable company in a span of ten years. He believes in giving back to the startup ecosystem that has enabled him a successful entrepreneur. Till date, he has made more than 25 angel investments in startups like Unacademy, Open Secret, Innov8 and Kawa Space.

- Private equity firms mostly buy mature companies that are already established. The companies may be deteriorating or failing to make the profits they should due to inefficiency. Private equity firms buy these companies and streamline operations to increase revenues. Venture capital firms, on the other hand, mostly invest in startups with high growth potential.

- Private equity is capital invested in a company or other entity that is not publicly listed or traded.

- Private equity firms mostly buy 100% ownership of the companies in which they invest. As a result, the companies are in total control of the firm after the buyout. Venture capital firms invest in 50% or less of the equity of the companies.

Going for IPO

- Zomato
- Flipkart
- Nykaa
- Policy bazzar

Startup Accelerator

- At a high level, startup accelerators and incubators are organizations that seek to help startups attain success. Startup accelerators tend to focus on providing startups with mentorship, advice, and resources to help the startups succeed, including a Demo Day, a day to focus the attention of the startup investor community on the startups through hosting a series of investments pitches from the startups to startup investors.
- Corporate accelerators are a particular type of seed accelerator, sponsored by a profitable company. TLabs, Z Nation Lab, BusinessWorld Accelerate, Nasscom Initiative, Venture Nursery, Microsoft ScaleUp and others.